

Activity 8: Break a Construction Variation Impasse

TSC mapping: K5 | K6 | A4 Objective: Diagnose and resolve an impasse using objective criteria, issue separation and escalation choices. Expected output: A without-prejudice settlement package and a documented fallback path. Primary source: <https://www.pon.harvard.edu/freemium/negotiation-skills-negotiation-strategies-and-negotiation-techniques-to-help-you-become-a-better-negotiator/>

Goal

Facilitate a negotiation between a property owner and contractor over cost and schedule impact from an instructed design variation.

Real-world scenario

Real-world use case: project variations frequently create disputes over entitlement, valuation, delay, evidence and authority. This simulation is educational and not legal advice.

An office refurbishment owner instructed a late layout change. The contractor claims additional labour, materials and a 12-day extension. The owner accepts some cost but says the contractor's notice was late and its schedule evidence is weak. Meetings have become positional and both sides threaten formal dispute procedures.

Evidence boundary

The business setting is a realistic composite. Numerical and organisational inputs created for practice are labelled as training assumptions and must not be presented as real company facts.

Training assumptions / guardrails

- The contractor claims SGD 185,000; the owner's internal estimate is SGD 112,000.
- Independent quantity rates support a range of SGD 125,000-145,000 before delay impact.
- A 12-day delay would cost the owner SGD 36,000 in temporary premises.
- The contract and legal rights are simplified training inputs and require professional review in practice.

Questions

1. Is the impasse about entitlement, valuation, delay, process or face?
2. Which precedents and objective criteria are genuinely comparable?
3. What package could separate undisputed and disputed components?
4. When should the parties pause, escalate, mediate or pursue BATNA?

Detailed activity procedure

Step 1: Name the impasse

Write a neutral statement of the deadlock without assigning motive or blame.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 2: Separate issues

Divide entitlement, quantum, extension of time, records, cash flow and future coordination.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 3: Test criteria

Compare rates, programme evidence and prior variations; document context differences.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 4: Generate options

Consider staged payment, independent valuation, time mitigation, shared contingency and reserved rights.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 5: Choose process

Assess direct settlement, senior escalation, expert determination, mediation and formal procedures against cost and time.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 6: Record the proposal

State agreed, provisional and disputed items, conditions, deadlines and the fallback if acceptance is not reached.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Deliverable

A without-prejudice settlement package and a documented fallback path.

Acceptance criteria

The recommendation addresses each issue separately, uses at least two defensible criteria and preserves a clear non-agreement path.

Reflection and debrief questions

1. Which assumption changed your negotiation plan most, and why?
2. What evidence would you request before relying on the result?
3. Which stakeholder owns the next decision or approval?
4. What would you repeat or change in the next negotiation?

Source note

Source accessed 15 August 2026: <https://www.pon.harvard.edu/freemium/negotiation-skills-negotiation-strategies-and-negotiation-techniques-to-help-you-become-a-better-negotiator/>